

THE DEFINITIVE GUIDE · 2026 EDITION

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Expat507

INTELLIGENCE FOR INVESTORS

How to Settle & Invest in *Panama*

The complete guide for international expatriates and investors: residency, real estate, banking, legal structures, wealth and life in the most connected country in the Americas.

YOUR INSIDER GUIDE TO LIVE, INVEST AND THRIVE

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Why Panama

Few countries concentrate as many advantages for the international investor and expatriate as Panama. This isn't just about beaches or a tropical climate: it's about an economic, legal and geographic architecture designed —over more than a century— to connect capital, people and markets.

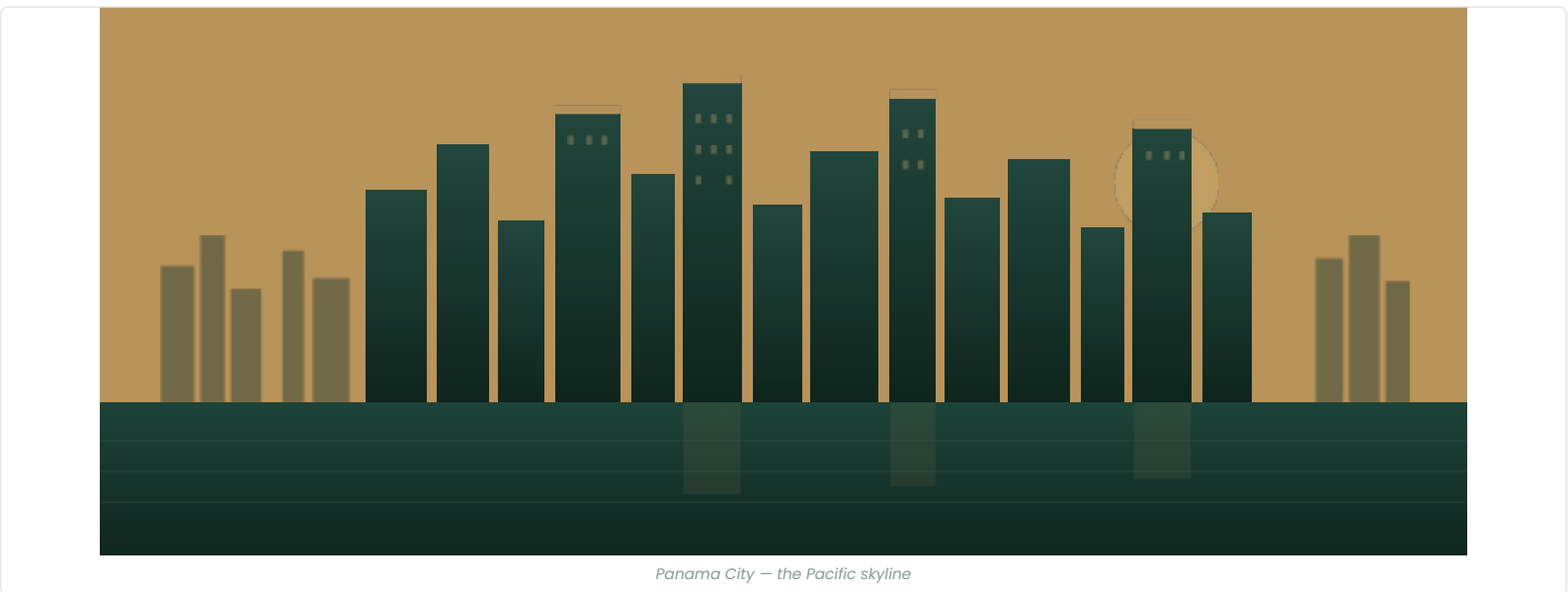
When an international investor evaluates where to establish a second residence, diversify their wealth or relocate their family, they typically compare dozens of jurisdictions. Panama consistently appears among the top choices, and not by chance. Its value proposition rests on four pillars that few destinations can offer simultaneously.

A dollarized economy

Panama has used the U.S. dollar as legal tender since 1904. For the investor, this completely eliminates currency risk: there is no possibility of a sudden devaluation of the local currency eroding the value of your assets overnight, as happens across much of the region. Your capital is held, invested and transferred in dollars, which vastly simplifies international financial planning.

Strategic location

The country is, literally, the connection point between North and South America, and between the Atlantic and Pacific oceans. The Panama Canal is not merely an engineering marvel: it is the reason Panama became a logistics, financial and aviation hub. Tocumen International Airport connects to more than 80 destinations, making it ideal for those who need to move frequently between continents.



Stability and growth

Panama has maintained one of the highest sustained-growth economies in Latin America over the past two decades. Its banking system is robust and mature —one of the most important financial centers in the region— and its legal framework favors foreign investment, granting foreigners practically the same property rights as nationals.

A territorial tax system

Perhaps the most attractive feature for international capital: Panama only taxes income generated within its territory. Foreign-source income —pensions, dividends from overseas investments, profits from businesses operated abroad— is not subject to Panamanian income tax. We dedicate all of Chapter 4 to explaining how this works and what it means for you.

IN SHORT

Panama combines monetary security (the dollar), global connectivity, institutional stability and a territorial tax regime. It is this combination —and not any single isolated factor— that makes it one of the preferred destinations for residency and investment in the hemisphere.

USD

Legal tender since 1904

80+

Destinations via Tocumen

0%

Tax on foreign-source income

Residency & Visas

Panama offers one of the most flexible and accessible residency frameworks in the world. There is a route for nearly every profile: the investor with capital, the retiree with a pension, the professional from an allied country and the remote worker. Knowing the differences is the first step to choosing well.

The question isn't just "can I obtain residency in Panama?" —the answer is almost always yes— but rather "which is the right route for my situation?". Each program has different requirements, costs and benefits. Below are the four main routes foreigners use, with a clear comparison at the end.

Qualified Investor Visa (Golden Visa)

This is the fastest route to permanent residency. Established by Executive Decree 722 of 2020, it grants permanent residency directly —with no provisional stage— to those who make a qualifying investment using funds from abroad. The investment must be maintained for at least five years. Given its importance, we dedicate all of Chapter 3 to this option.

Pensionado (Retiree) Visa

One of the most recognized retirement visas in the world. It requires proof of a lifetime pension of at least **USD 1,000 per month** from a government or private source (U.S. Social Security, for example, qualifies). In return, it grants permanent residency from the start and, under Law 6, an extraordinary package of discounts on transport, healthcare, entertainment and services.

THE APPEAL OF THE PENSIONADO

Beyond residency, this visa grants legally guaranteed discounts: up to 50% on hotels, 25% on domestic flights, 30% on international airlines, plus reductions on medicine, restaurants and entertainment. For someone on a fixed income, these benefits stretch a budget considerably.

Friendly Nations Visa

Aimed at citizens of more than 50 countries considered "friendly" to Panama —including the United States, Canada, the United Kingdom and most of Europe. After the 2021 reform, the most common route requires demonstrating an economic tie to the country, typically through the purchase of property (with a threshold around USD 200,000) or a job offer from a Panamanian company. It begins as temporary residency for two years and then converts to permanent. It is the favorite among working-age professionals.

Digital Nomad Visa

For remote workers. It requires proof of income of at least **USD 3,000 per month** (USD 36,000 annually) from foreign sources. It allows legal residence for up to 18 months and does not tax foreign income. Important: it does not lead directly to permanent residency and prohibits working for Panamanian companies. It is ideal for "testing" the country before committing to a long-term route.

Comparison of the main routes

Program	Main requirement	Result	Ideal for
Qualified Investor	Investment from \$300,000	Immediate permanent residency	Available capital, speed
Pensionado	Lifetime pension of \$1,000/mo	Permanent residency + discounts	Retirees with a pension
Friendly Nations	Economic tie (property/job)	Temporary → permanent (2 yrs)	Working-age professionals
Digital Nomad	Remote income of \$3,000/mo	Temporary residency (18 mo)	Remote workers

KEY POINT

Panamanian law requires that every residency application be filed through an authorized Panamanian attorney. It is not optional. Choosing a good legal advisor is, in practice, the single most important decision in the entire process.

The path to citizenship

After five years of permanent residency, most residents may apply for naturalization (the period is shorter for nationals of certain Latin American countries and Spain, under reciprocity agreements). The process requires demonstrating continuity of residence and passing exams on Spanish, history and geography. In practice Panama allows dual nationality for naturalized citizens, though you should review the rules of your country of origin.

Residency by Investment in Detail

For those with the capital, the Qualified Investor Visa is the most direct and fastest path to permanent residency in Panama. This chapter breaks down everything you need to know: the three options, the amounts, the process and what to watch for.

Known internationally as Panama's "Golden Visa," this program was designed to attract international capital by offering something very valuable in return: direct permanent residency, with no provisional stages, within a remarkably short timeframe. Unlike other routes, here you don't need to prove an employment tie or a pension; you simply make —and maintain— a qualifying investment.

The three investment options

An applicant may qualify through any of these three avenues. In all cases, the funds must come from abroad and the investment must be maintained for a minimum of five years.

Option	Minimum amount	Notes
Real estate	USD 300,000	Residential or commercial property, free of liens
Stock market	USD 500,000	Through authorized Panamanian brokerage firms
Fixed-term deposit	USD 750,000	In a licensed Panamanian bank, for five years

ON THE REAL ESTATE THRESHOLD

The real estate option has historically been the most used due to its relative accessibility. Always confirm the threshold in force at the time of applying, as minimum amounts may be subject to regulatory adjustments. An up-to-date attorney will verify the correct figure for your case.

Additional costs

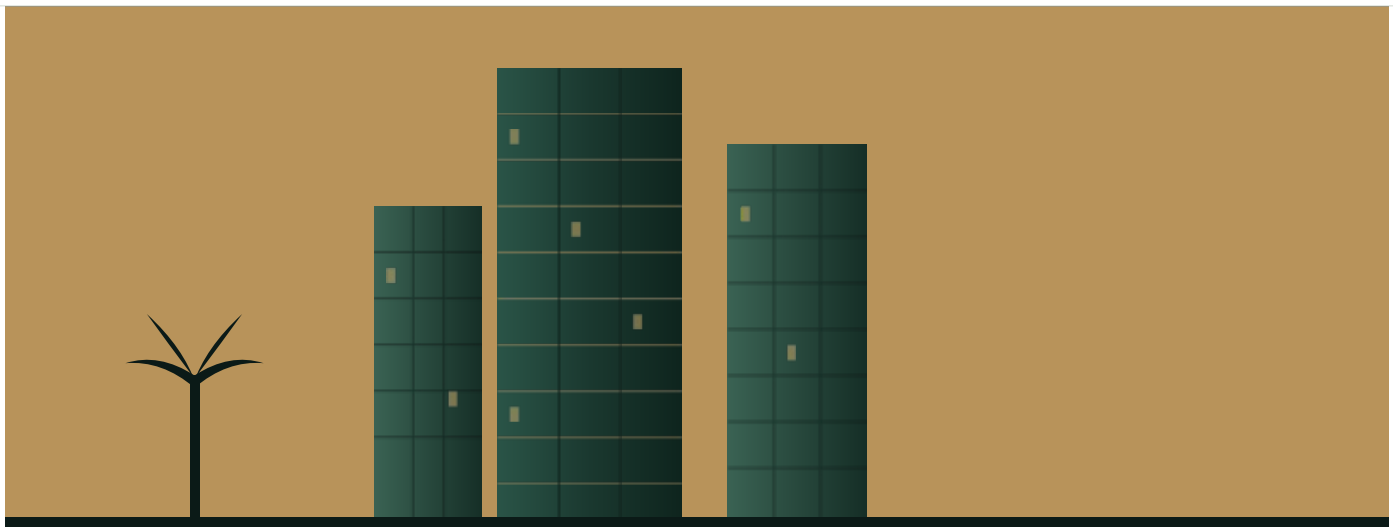
Beyond the investment amount, the applicant must account for certain payments to the State. These typically include an application fee to the National Treasury and a repatriation deposit to the National Immigration Service, in addition to legal fees. These amounts are separate from the qualifying investment and should be budgeted from the outset.

The process, step by step

1. **Advisory and structuring.** A Panamanian attorney evaluates your case and defines the optimal option.
2. **Document preparation.** Valid passport, apostilled criminal background certificate, and documentation proving the foreign origin of the funds.
3. **Execution of the investment.** Purchase of property, opening the deposit or investing in securities, depending on the chosen option.
4. **Submission of the application.** The attorney files the dossier with Immigration.
5. **Approval and ID card.** Once approved, you receive your permanent residency.

Timeframes

One of the great attractions of this program is its speed. Depending on the complexity of the case and the completeness of the documentation, the process can be completed in an approximate range of 30 to 90 days —considerably faster than most comparable programs in other jurisdictions.



Premium oceanfront residential towers

Advantages over other visas

- Immediate permanent residency, with no two-year temporary stage.
- No strict minimum stay requirement; periodic visits are enough to maintain status.
- Family inclusion: spouse, dependent children and, in certain cases, parents may be included.

- Path to citizenship after five years of residency.

EXPAT507 RECOMMENDATION

Residency and tax residency are different things. You can hold permanent residency in Panama without becoming a Panamanian tax resident. This distinction matters enormously for your planning: analyze it with an advisor before moving capital.

CHAPTER 04

The Territorial Tax System

If there is a single feature that explains why so much international capital looks toward Panama, it is its territorial tax system. Understanding it well can transform your wealth planning; misunderstanding it can cost you dearly.

The principle is elegant in its simplicity: **Panama only taxes income generated within its territory**. Foreign-source income is not subject to Panamanian income tax, regardless of whether you are a tax resident or not, with no cap on the amount and no restriction on bringing that money into the country.

What counts as Panama-source income

Taxed, at rates ranging from 0% to 25%, are income such as: salary from a Panamanian employer, profits from a business with local sales, services performed within Panama, and rental income from properties located in the country.

What is exempt

Not taxed in Panama: foreign pensions and retirement income, dividends and interest from foreign investments, profits from businesses whose activity is carried out abroad, and rental income from properties located overseas. Remote work for foreign clients is also not considered Panama-source.

Type of income	Taxed in Panama?
Foreign pension / foreign Social Security	No
Dividends and interest from foreign investments	No
Remote work for clients abroad	No
Salary from a Panamanian employer	Yes (0–25%)
Rental income from property in Panama	Yes

Other relevant taxes

- **ITBMS (VAT):** the consumption tax is 7%, one of the lowest in the region.
- **Capital gains on real estate:** generally 10%, with a 3% withholding at the time of sale, creditable against the final tax.
- **Securities:** stock market transactions are generally exempt from capital gains tax, which favors investors.
- **Property tax:** applies annually on real estate, with exemptions for homes below a certain value.
- **No inheritance tax.**

ATTENTION: U.S. CITIZENS

The United States taxes its citizens on their worldwide income, regardless of where they live. If you are American, you must continue filing with the IRS and reporting your foreign accounts (FBAR). Panama's territorial system does not exempt you from your U.S. obligations. Always consult an international tax specialist.

The tax information in this chapter is general and educational in nature. Tax laws change and their application depends on your particular situation and your country of origin. This does not constitute tax advice. Consult a qualified professional before making decisions.

Real Estate

Panama's real estate market is one of the most dynamic and accessible in Latin America for the foreign buyer, who enjoys practically the same property rights as a national. But investing well requires knowing the areas, the process and the real costs.

Key areas to invest

Panama City concentrates most of the international demand, but each area has a distinct profile:

Punta Pacifica

The epicenter of vertical luxury, with oceanfront towers, the leading hospital and premium shopping centers. High rental demand and sustained appreciation.

Costa del Este

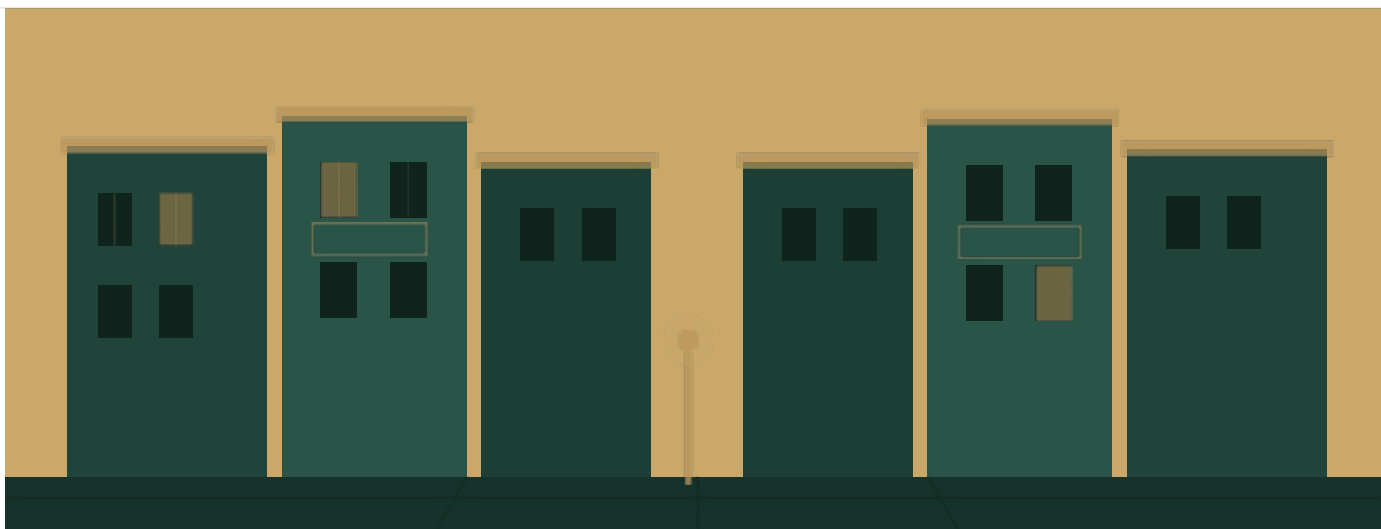
A planned residential and corporate area, popular among families and executives. It offers modern infrastructure, schools and a quieter atmosphere.

Casco Antiguo (Old Town)

The restored historic center, a UNESCO World Heritage Site. Charming properties, high tourist demand for short-term rentals and strong appreciation, though with special restoration regulations.

Coronado and the beach interior

For those seeking a coastal lifestyle. Established expat communities one to two hours from the capital.



Casco Antiguo — the restored historic center

Titled property vs. possession rights

This is a critical distinction every foreign buyer must understand. **Titled property** is registered in the Public Registry and offers maximum legal security. **Possession rights (derecho posesorio)**, by contrast, do not constitute full property title; it is a right of occupancy that carries more risk. The general recommendation for the foreign investor is clear: always prioritize titled property.

The buying process

1. **Search and offer.** Identifying the property and a letter of intent.
2. **Due diligence.** Verification of the title in the Public Registry, free of liens.
3. **Promise-to-purchase agreement.** With an escrow deposit.
4. **Public deed.** Signing before a notary.
5. **Registration.** Recording the new ownership in the Public Registry.

Real closing costs

For a cash buyer, closing costs typically range between 2% and 5% of the purchase price. If you finance with a mortgage, this range rises to approximately 3%–7%. Legal fees for a standard residential transaction are around 1%–1.5% of the price. Budgeting these costs from the start avoids surprises.

PRE-CONSTRUCTION VS. FINISHED PROPERTY

Buying pre-construction usually offers lower prices and staged payment plans during the build, with appreciation potential upon delivery. In exchange, you assume execution risk and the developer's timelines. A finished property costs more but offers immediate certainty: you see it, rent it or live in it from day one. The choice depends on your risk tolerance and investment horizon.

Holding property as a non-resident

A foreigner can hold Panamanian property indefinitely, either in their personal name or through a Panamanian corporation. The latter structure, very common, carries modest annual maintenance costs (registered agent and fees) but offers planning advantages we'll cover in Chapter 7.

CHAPTER 06

Banking & Finance

Panama is one of the most solid banking centers in Latin America. Opening an account as a foreigner is entirely possible, but the process is rigorous: due diligence is thorough, and patience and the right documentation are your best allies.

Panama's financial system is mature, dollarized and attracts depositors from across the region. For the foreign resident or investor, having local banking vastly simplifies life: paying for services, managing real estate investments and operating in the country. But it pays to enter with realistic expectations.

Types of account

- **Personal account:** for individuals, residents or non-residents (with stricter requirements for the latter).
- **Corporate account:** for Panamanian companies, useful for holding assets and operating businesses.
- **Investment / private banking account:** for wealth management, generally with higher minimum amounts and a dedicated advisor.

The due diligence process

Panamanian banks apply international compliance standards (know-your-customer and anti-money-laundering). This means they will request detailed documentation. Typically:

- Passport and a second form of ID.
- Bank and/or commercial reference letters.
- Proof of address.
- Documentation proving the source of funds (the most important piece).
- In some cases, tax returns or financial statements.

THE KEY: SOURCE OF FUNDS

The factor that most determines the success of an account opening is being able to clearly document where your money comes from. An orderly, transparent file speeds everything up. Opacity, by contrast, leads to rejections. Prepare this documentation before you begin.

Realistic time expectations

Opening an account can take from a couple of weeks to more than a month, depending on the bank, the applicant's profile and the completeness of the file. It is not an instant process. Private banking, with its personalized service, sometimes streamlines the process for clients of significant wealth.

The link to residency

Holding Panamanian residency significantly facilitates opening accounts, both personal and corporate. It is one of the practical —and often underestimated— benefits of regularizing your immigration status in the country.

This chapter is informational and does not mention or recommend specific financial institutions. The choice of a bank should be based on your profile and current professional advice.

Legal Structures & Wealth

Panama is recognized worldwide for its wealth-structuring vehicles. Corporations, foundations and trusts are legitimate and powerful tools to organize, protect and transfer your wealth —provided they are used with transparency and good advice.

The Corporation (S.A.)

The Panamanian corporation is known worldwide and is used for holding assets, operating businesses and planning. It is flexible, relatively simple to incorporate, and carries modest annual maintenance costs. Many foreigners hold their Panamanian properties through an S.A. for the management and succession advantages it offers.

The Private Interest Foundation

Inspired by the foundations of Liechtenstein, the Panamanian private interest foundation is one of the best wealth-protection and succession-planning vehicles in the world. It has no owners or shareholders: it has a founder, a foundation council and beneficiaries. It is ideal for organizing the transfer of wealth across generations, maintaining continuity and avoiding complex probate processes.

The Trust

The Panamanian trust allows a person (settlor) to transfer assets to a trustee to manage them for the benefit of third parties (beneficiaries). It is a versatile tool for asset protection, planning and professional wealth administration.

Foundation vs. Trust: which do you need?

Private Interest Foundation	Trust
An entity with its own legal personality. Excellent for long-term holding and succession. It has no owners; it operates according to its bylaws and regulations. Greater permanence and structured control.	A contractual relationship where a trustee manages assets for beneficiaries. More flexible and dynamic for certain administrative purposes. Useful when seeking professional management of specific assets.

In practice, both instruments are often combined within a single structure, depending on the objectives: a foundation may, for example, hold the shares of a corporation that in turn owns the assets. The right design depends on your family situation, your objectives and your country of origin.

COMBINING WITH THE TERRITORIAL REGIME
These structures gain special value when combined with Panama's territorial tax system. A well-designed structure can offer protection, succession continuity and efficiency, all within a legal and transparent framework. The key phrase is "well-designed": these tools require specialized advice.

TRANSPARENCY ABOVE ALL
Panamanian structures are legitimate and useful, but they must be used with full transparency toward the tax authorities of your country of origin. The goal is to organize and protect, never to conceal. A good advisor designs structures that comply with international reporting standards.

The Expat Life

Beyond the numbers and the paperwork, moving to Panama is a life decision. These are the practical day-to-day aspects that determine whether your experience will be a success: the real cost, where to live, healthcare, education and what's worth knowing before you arrive.

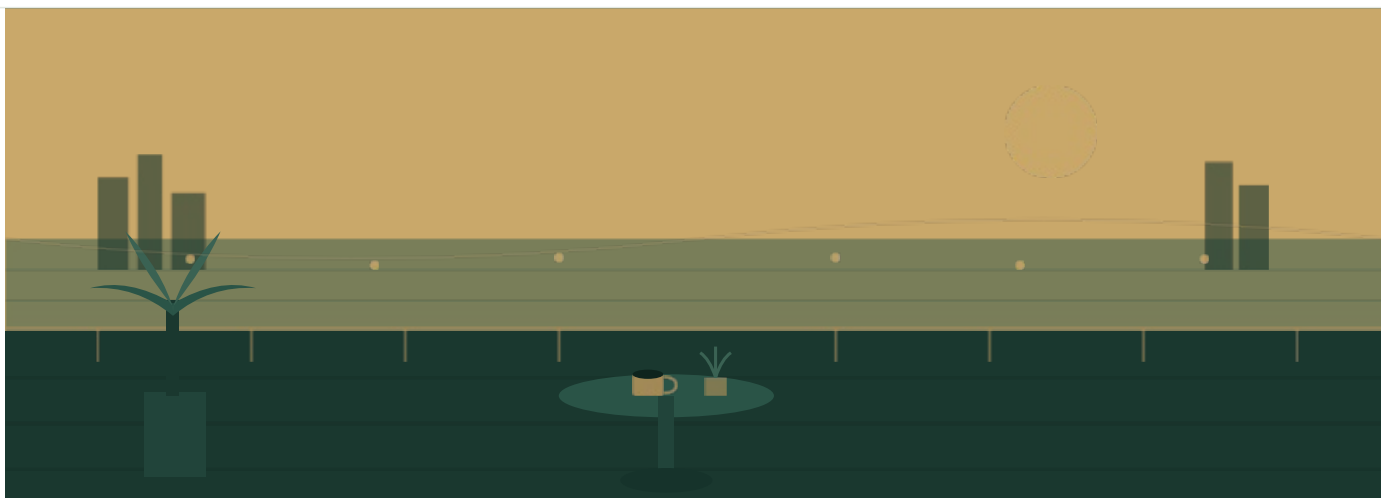
Real cost of living

Panama offers an excellent quality of life, but the capital is not the "cheap" destination some imagine. A comfortable life in Panama City runs around USD 2,200 to 3,500 per month for an individual or couple, depending on lifestyle, area and whether you have children. It is higher than much of Latin America, but considerably lower than major North American or European cities, with the advantage of the dollarized economy.

Where to live

The choice of neighborhood defines your experience:

- **Punta Pacifica / Punta Paitilla:** luxury, vertical living, ocean views.
- **Costa del Este:** family-friendly, planned, quiet.
- **Casco Antiguo:** historic, cultural, vibrant.
- **El Cangrejo / Obarrio:** central, urban, gastronomic.
- **Beach areas (Coronado, Gorgona):** coastal lifestyle, expat community.
- **Boquete (highlands):** cool mountain climate, popular among retirees.



The expat life — terraces by the Pacific

Healthcare

Panama has a high-quality private healthcare system, especially in the capital, with hospitals of regional reference and many U.S.-trained physicians. Private health insurance is affordable by North American standards. For many expatriates, the quality and cost of medical care is a decisive factor in Panama's favor.

Education

The capital offers a variety of international schools with American, British and International Baccalaureate (IB) curricula, easing the transition for families with school-age children. Demand is high, so it's advisable to arrange admission well in advance.

What no one tells you

- **The climate is tropical:** heat and humidity year-round, with a marked rainy season. Boquete and the highlands are the cool exception.
- **Spanish helps:** although English is used in business circles and expat areas, daily life flows much better with some Spanish.
- **The Panamanian "ahorita":** the pace and bureaucracy can require patience. Planning and a good local team solve it.
- **The expat community is real and active:** you'll find established support networks that make arrival far easier.

Your Action Plan

You've reached the end of this guide with something most people don't have: a complete, organized view of what it takes to settle and invest in Panama. The next step is to turn that knowledge into action.

Your next steps

1. **Define your main objective.** Residency, investment, wealth diversification, retirement? Your objective determines the route.
2. **Identify your residency route.** Use the comparison in Chapter 2 to pinpoint the program that fits your profile.
3. **Organize your documentation.** Valid passport, criminal background check, and —crucially— documentation of the source of your funds.
4. **Define your investment strategy.** If you're pursuing the investor or real estate route, decide on the option and area.
5. **Surround yourself with the right team.** A Panamanian attorney is mandatory. The right advisor makes all the difference.

Take the first step with us

At Expat507 we offer a free, no-obligation initial consultation. We assess your specific situation and guide you on the best route for your case —without selling you anything directly.

When you're ready, we connect you with the right professionals from our private network, vetted and trusted, so you can execute each step with confidence.

[BOOK YOUR FREE CONSULTATION AT EXPAT507.COM](#)

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